Ep. 377: Jay Pelosky on the Tripolar World, the Spending Super Cycle, and the Global Earnings Boom

Podcast: Macro hive

AI Executive Summary

1. Core Thesis

Bilal Hafiz argues that the global economy is entering a "Spending Super Cycle" and "Global Growth Long Cycle" extending through 2030, driven by unprecedented regional investment in AI, defense, and climate across Asia, Europe, and the Americas. Despite macroeconomic concerns regarding US interest rates, geopolitical conflict (Middle East, Russia-Ukraine), and inflation, equities remain undervalued globally with robust earnings growth. The market structure is "omnivorous," characterized by short, sharp volatility driven by algorithms rather than long bear markets. The strategy shifts away from the US as a sole leader toward a multipolar equity approach, betting on an upcoming "Face Ripper Rally" supported by cheap valuations in Emerging Markets (EM) and specific sectors like semiconductors and AI infrastructure where Return on Investment (ROI) is proving viable.

2. Key Arguments & Data

- **Tripolar World Thesis:** Regional deepening/integration is the forward path replacing post-2008 globalization, supported by events from COVID through US-China tensions to Russia-Ukraine conflicts. No country possesses everything it needs; countries are forming blocks (Asia, Europe, Americas).
- **Spending Super Cycle:** All three regions are spending aggressively on existential issues (AI, Defense, Climate). This drives an unprecedented global earnings boom and supports the growth long cycle through 2030.
- **Valuation Metrics (US vs. EM):**
    - **S&P 500:** Trading at ~18x Forward P/E (cheap vs. 10-year average; forward earnings expected around $420 for 2027).
    - **US Stock Market:** Severely overvalued compared to alternatives; currently cheaper than it's been in a decade.

    - **EM Equities:** Trading at a ~50% discount to the US, offering unowned positions and unexplored upside (e.g., EM equities 18 months of outperformance).
    - **South Korea:** Trading at ~5x forward earnings with >100% earnings growth driven by AI/Memory.
- **Earnings Growth:**
    - **US Nominal Growth:** Projected at 6-7%.
    - **Q3 Forecast:** 25% YoY earnings growth expected for the US.
    - **Global Earnings:** Robust profitability across Europe, Asia, and Americas; JP Morgan reports 80% of S&P companies have positive earnings growth in 2026 expectations (highest since post-COVID).
- **Market Volatility:**
    - Market acts as an "omnivorous machine" eating narratives quickly.
    - ~80% of daily action is algorithmically driven, leading to short, sharp corrections rather than long-drawn-out bear markets.
- **Interest Rate & Fixed Income:**
    - Investors should ignore news and focus on asset price reactions; stocks have been digesting uncertainty without a meaningful index decline.
    - Nominal Growth > Interest Rates (Fed rate hike cycle likely to be capped at one hike vs. recession-inducing 2022).
    - MacroHive does not own treasuries in their global model (avoided for four years); favoring Credit/HYGH ETF over Bonds.
- **Country Specific Positions:**
    - **Europe:** Overweight; Bullish on banks (EFN), Spain (clean energy, power/immigration benefits), and Poland (Ukraine reconstruction beneficiary).
    - **China:** Steadfast in A-shares (Tech, Biotech); believes China has the world's best industrial policy. Dominates physical AI but is splitting from the US on tech.
    - **EM LatAm:** Overweight; Focus on Brazil (Commodities/Renewables/Rate cuts) and Mexico/Latin American ETF (ILF) for material/commodity exposure.
    - **Energy Transition:** Conflict in Middle East spurred "clean energy adoption leapfrog" in EMs. Clean stocks underperforming

but Battery/Energy storage critical due to solar intermittency issues.

- **Political & Macro Risks:**
  - US White House termed a "Chaos Agent"; Fed/Treasury policy incoherence.
  - US Midterms priced in (Democrats likely to take House/Senate); political ads visible despite Republicans having money advantage.
  - Expect ceasefire in Russia-Ukraine by end of year; expect ceasefire in US-Iran conflict, benefitting Europe and reducing energy risk.

3. Actionable Takeaways

- **Adopt a Conviction Strategy:** Do not trade with the algorithmic market. Ride through short-term volatility ("painful for a month or two") to capture long-term trends driven by earnings growth.
- **Diversify Regionally & Thematically:**
  - Shift underweight US equities; overweight non-US, specifically EM and Europe.
  - Select specific countries over broad indices: South Korea (Semis/Memory), Spain (Energy/Power), Poland (Ukraine Recovery).
  - Expose A-shares in China for Tech/Biotech rather than generic S&P500 China ETFs.
- **Invest in the Physical Economy:** Do not own AI without physical commodities. Gain exposure to copper, silicon, silver, and lithium via ILF (LatAm ETF) or miners, as digital cannot function without the physical infrastructure.
- **Focus on Batteries & Storage:** Move capital within clean energy space from Solar/Utility to Batteries (ICLN/LIT) to reduce intermittency issues for solar farms.
- **Monitor Earnings Season:** We are entering Q3 earnings season with 25% projected growth in the US and cheap valuations (semis at <16x Fwd P/E). This is a major setup for a rally ("Face Ripper").
- **Follow Research Frameworks:** Access detailed market analysis via the MacroHive Substack ("Tripolar World") and model portfolio

delivery service to maintain structure in an "omnivorous" environment.

Full Transcript

Welcome to the MacroHive Conversations podcast. I'm Bilal Hafiz, Head of Strategy at MacroHive. Before we dive in, a quick update. Following MacroHive's acquisition by the BGC Group, BGC has launched a new regulated business called MacroHive Markets. For the first time, onboarded clients can also access execution services via MacroHive Markets. This new workflow will allow macro-institutional investors to benefit from strategy and quant insights, alongside access to global liquidity. Please contact Andrew Simon or Gail Mozibriyan

Bloomberg or click the link in the description below for more details on McRide markets and its service offering. I have to say I love reading your weekly pieces because I'm in the macro world and so many macro people tend to be in the doom and gloom camp when it comes to equity markets. And you know, it perhaps is useful just to remind our audience, you know, your bigger picture structural view first, you know, what's kind of underpinning your view on equities. You talk about the tripolar world. So if you just remind us what you mean by that and also the spending supercycle that has been driving things. Yeah, you know, I've been doing global macro since the mid 90s, I would say when I launched Morgan Stanley's global emerging market strategy product. So my experience base is pretty long. And over the last 15 years or so, I focused on what I call the tripolar world, which is a thesis arguing that regional deepening or regional integration in the three main regions of Asia, Europe and the Americas.

was going to be the way forward, right? I mean, after the great financial crisis, globalization was dead. The finance world was the tip of the spear, and that was severely damaged. And nationalism really doesn't work. And we saw that with Brexit a few years later. And so regional deepening or regional integration was my view as to how we would move forward. And basically, in my reading, much of what has occurred since that period of time over the last 10, 12 years has validated that thesis. If you think about COVID, if you think about Russia, Ukraine, if you think about US China, I think there's a lot to support the idea that no country has everything it needs, that countries are starting to form blocks, and places like Europe, places

like Asia, And to a much lesser extent, particularly under the current administration, the Americas are integrating. And so the most recent kind of iteration, not iteration, but addition to this tripolar world is what we call the tripolar world spending super cycle, which we introduced in April, where we argued that every region, all three regions are spending aggressively, both public and private, on three existential issues, which are AI, defense, and climate. And so our thesis was simply that this spending is unprecedented. It's going to be ongoing. It supports what we call our global growth long cycle, which we've been writing about since 2023, coming 22, 23, coming out of COVID with all the money, all the monetary support.

We were pretty pro-growth that whole period. And now arguing that the super cycle, the spending super cycle carries that global growth long cycle through the end of this decade. So we're pushing out through 2030 and beyond. And arguing that this global growth long cycle is globalizing an earnings boom. which is likewise unprecedented. And therefore, we argue that this supports a secular leadership change in global equities away from the US, which was the leader from the bottom in 2009 through 2024, to the rest of the world, which offers relatively the same, if not better, earnings growth in the US at a much cheaper multiple. EM trading at 50% discount. to the US as an example and offering basically unowned positions, right? Everyone is severely underweight ex-US. All the money in the world over the last five years has flowed into the United States. And so we are arguing that the US is going to be under a haircutting regime.

premium equity valuation comes down, cost of financing goes up, as we've seen with the Treasury market, dollar weekends, and the rest of the world outperforms. And as you know, these trends do not last for quarters of months. These are yearly, multi-year moves. And so we would expect that the outperformance of EM, for example, EM equity, already 18 months long, should extend for the next several years. two to five years. And so there's a real big opportunity. And we think to just put the final touch on it, our musings that we published in our substack on Friday, the title was Face Ripper Rally Ahead. And so we're arguing that we're probably coming right into a period where stocks we think are going to do quite well.

I mean, before we get into the rest of the world stocks, I mean, when it comes to the US in particular, there's been so much talk about bubbles and AI bubble. People have talked about debt fueled, capex spending. People have talked about obviously the Middle East, you know, crisis or spilling over, Fed hikes. I mean, people are like throwing a lot of concern around, you know, and then I was recently reading some sell side research reports talking about like equities about for outperformed bonds for so many years now. That's unusual. So there's all of this doom and gloom around this rally. It's unloved, as people like to call it. So how do you respond to that, bubble, capex, debt, fuel, all of these things that I'm throwing at you just now? Well, bottom line up front, right? You have, as I said, unprecedented global earnings boom at a time when equities are cheaper than they've been in years. If you look at the forward PE of the US, for example, If you take the 2027 forward earnings expectations around 420 bucks, you divide 7600 on the S&P. That's an 18 multiple, 18 times forward. That's less than the five year average and the 10 year average. So the S&P is cheaper than it's been in a decade and earnings growth has rarely if ever been better and people are bearish. Why do you think people are bearish?

Well, I mean, you, you, you, there's any number of reasons to be worried and to be concerned, right? You, you've had that over the last couple of months. I mean, we have a chaos agent in the White House. We have, you know, conflicts in Europe. We have a conflict in the Middle East. We have oil prices over a hundred bucks. We have the tenure treasury finally hitting 5% after people have been waiting and waiting and waiting for it. And so all these things are inflation worries, new fed chair, rates rising all across the developed world. All of these things are fodder for the bearish argument. The point is, we like to focus not on the news, but on the asset price reaction to the news. And there stocks have been fine.

Stocks have digested, started the year off strong and have spent the last three months or so in US and globally basically digesting all of this uncertainty and refusing to go down in any meaningful way at the index level. Underneath the index, there's been plenty of bloodshed. We ourselves got toasted in July, one of the worst months we've had in years. But we made it right back in August. And so I think we're in an environment. We call this market an omnivorous market, because it eats narratives super fast.

It sees a narrative, it eats it, it digests it, and it's on to the next. It discounts it, and it's on to the next. And so I think market structure is such where you know, as well as I do that 80 plus percent of the daily action is algorithmically driven. And so markets are run by models, models have the same inputs, essentially, and they just, you know, they take a data point and they price it in immediately, and then they stop and they wait for something else. And so I think that the market is what we're having is more short, sharp corrections.

and fewer long drawn out bear markets. And so the question then becomes, what do you do about that as an investor, right? Do you try to trade with the algos or do you ride through it? Trading with the algos, at least for us, a TBW advisory is not advisable, right? We're not good at that. You got to know what you're good at. And so what we're reasonably good at, we've kind of learned over time, is that we have the capacity to have a point of view, have conviction in that point of view and ride through that volatility, even though it can be painful for a month or two months, as I just already mentioned. And so, you know, for us, last week was kind of, I think, a clearing event in a sense that we finally did get the Fed raising rates. We finally did get the 10 year at 5%. We finally did get oil back over 100. And so, and we got, you know, I think perhaps most importantly, we got AI, which people have been so uncertain about and so confused about, you know, AI as a shot at exterminating you and me and everybody else in the next decade. And, you know, it doesn't get much more bearish than that. No, that's a bad point. I mean, just on the right side, you know, I often get this question from lots of investors, which is like, What's the level of Bonyos that will crack equity markets? I'm not sure. I don't agree with the framing of the question. But how do you respond to a question like that? Yeah, no. I mean, it's definitely a question a lot of people are asking. And look, the other side of it is nominal growth. And nominal growth is very strong. In the US, it's 6%, 7%. In Europe and in Japan, It's higher than it's been in years. And so people, the problem with a lot of the discussion today is it's extremely one sided. You know, people focus on one point and they don't think or they don't look at the other side. So yes, you know, rates are higher, but nominal growth is higher still. And so as long in my view, and again, I'm not a bond expert by any stretch, but I'm in the camp that says as long as nominal growth, is above interest rates, then we should be okay. And I

think, again, what is the stock market saying about this? The stock market is saying bonds at these levels are perfectly fine. And the Fed is gonna raise rates. I think the question is now, is this a one or two rate hike cycle, kind of like a 97 event, or is it the start of a, multi-rate height cycle a la 2022-23 which is going to lead to recession. And so one of the things that also struck us last week is we have a position in an ETF symbol HYGH, which is high yield hedged. So it hedges out the interest rate movements and provides a pure credit rate. And so we've been bearish on treasuries. We haven't owned treasuries In our global multi-asset model, as you know, we offer a model portfolio delivery service, we have not owned a treasury in four years. And so we want to take credit risk because we think the economy is fine because nominal growth is 7% in the US. And that was up on Thursday, or up on Wednesday, sorry, and on Thursday.

And so that's telling us that the credit market and the high yield part of the credit market is perfectly fine with rates where they are. Yeah, absolutely. And then on the earnings growth, say within the US, is it concentrated towards big tech or is it widely spread out across all the main sectors? It's quite widely spread out. JP Morgan, who does good work on this stuff, just came out this morning and their quote was something like, 80% of AQUI is expected to have positive earnings growth in 2026, which is the highest it's been since coming out of COVID. I guess it was either 21 or 22. And before that, it's been been a long, long time since so much of the index had, you know, had positive earnings growth. And that's the point of the spending super cycle.

It's not just AI. It's also on defense. It's also climate. It's also the things that go into those different buckets. And it's global, right? It's Europe is spending the money. Asia is spending the money. The Americas are spending the money. And that's the point that people are, they're kind of missing the forest for the trees, right? The forest is that the entire world is spending at the same time on existential issues, which people are not going to have the option to not spend on. And that is driving an unprecedented earnings boom, which while stock markets mark time, digesting the uncertainties we just discussed, what that's doing is it's lowering the valuation, right? Because the E is going up while the P is flat to down. And that's why, as I say, you have the S&P trading at a forward earnings of 18.

You have South Korea, which is very AI focused, OK, granted. But South Korea trades at five times forward earnings, five. Yeah. I mean, that is why shopping, you know, in the grand scheme of things. Yeah. Yeah. Because people don't believe that the cycle is going to continue, right? People have been trained for years that semis are cyclical. And when they appear cheap is actually when you want to sell them, right? Because the cycle is coming to an end. Earnings have rocketed. And that's it. Today, in our view, is very different. As I said, global growth, long cycle through 2030, the cycle in semis is either elongated considerably or has been obviated by the need for a continuation of spending on these things. And so we own South Korea because we want to have exposure to memory because earnings growth is like 100% plus and it's trading at five times earnings.

And in terms of the earnings picture outside of the US, Europe, Japan, EM, how's that looking? As I said, it's all very, very robust. And again, JP Morgan talks today about all three regions having strong to record profitability. So Europe, Asia, and the Americas. And Europe in particular, a lot of people just think Europe is left behind in kind of the global story. It's the US and China. Can we just talk a bit more about Europe? We've been overweight Europe again for years. We've been underweight the US within our global multi-asset model. We have been significantly overweight equities, overweight commodities, and significantly underweight fixed income. Fixed income has been a source of cash. And if you're a global macro investor and you have not outperformed a 60-40 or stocks, bonds, commodities, benchmark over the last couple of years, because bonds have been, you don't need to own them. It's been clear, one direction, their yields are higher, prices lower, bonds underperform. And so we've been overweight equities.

overweight, non-US equities, and in that, overweight both EM and the EFA market, so Europe and Japan. And both, you know, Japan, we like a lot. I know you wanted to talk about Europe. And in Europe, you know, what we've done, we've been very bullish banks. So EUFN, that's been a core holding of ours for years. It continues to be a core holding. We think there's a lot going on in the financial space in Europe. There's potential for consolidation for M&A. There's a lot of talk about consolidating trading platforms and trading systems and not quite the capital market union that

we would have liked to have seen years ago, but moving in the direction that suggests the consolidation of financial, the financial space in Europe is happening.

and the potential for upside and for Europe to spend money investing in Europe is huge. And so I think, just as a quick aside, I think we're gonna be moving in the next year or two from trade wars to capital wars. And there's a big focus, I think, on Europe instead of spending hundreds of billions of dollars to the US to keep some of that money at home. So we own the banks, we own Spain, We're big believers in Spain. We've called it our new global growth model country, renewable resources leading to power, cheaper power, leading to foreign investment. China is making big investments in Spain coupled with labor force growth. In Spain's case, through immigration, Spain has been a monster outperformer. And then we also own Poland. We're big believers, similarly Poland, one of the best growing stories in Europe.

Again, trade at a significant discount to Europe, not just to the U.S., but to Europe itself. And it's a huge beneficiary when the Ukraine reconstruction starts. Poland is going to be a huge winner. And we are in print saying we expect a ceasefire in the Russian-Ukraine conflict by the end of this year. And so far that hasn't happened. We may be moving in that direction and Poland is the best and cleanest play on that. So that's how we play Europe. And again, it's like EM. We don't just buy EM. We don't just buy Europe. We want to pick the parts that we think have the best upside and position there. As you mentioned EM a number of times now, are there any specific EM countries that you think stand out? We are invested across the regions.

So we are, I've already mentioned Poland in Europe. I mentioned South Korea in Asia. We're also heavily invested in China, which has not really worked to the extent that we had thought it might, but we are remaining steadfast in our positions there. And we're in the A shares in the tech, in the biotech space in China. So again, not simply buying, you know, the main China bench, the index zero. I think 40 or 50 US-wisted China-focused ETFs. So you can pick and choose. And we have picked and chosen biotech technology in the A-share market as the places we want to be. So we have three separate positions in China. And they've done OK. They haven't done

as well as we thought they might. They're still, we think, tremendous upside in China. We think China is defeating deflation.

as it defeats deflation that provides pricing power for corporates. The US-China splinter net on the tech side is obviously manifesting itself. So we want to be exposed to China tech. And then China is moving aggressively into the biotech space as well. And we see tremendous opportunity in that space. And that's one of the areas where China and its current five-year plan is very focused. And look, China has by far the world's best industrial policy mix. And to win today, you need to have industrial policy working well to be competitive. And so China has that in spades. It dominates the physical AI space. It's going to continue to dominate that. We also own, in our thematic model that we offer, robotics, which are exposed to China, humanoid robotics. And so we're big fans of the Chinese model in the current environment. Europe has the potential to do the same thing, but is moving way too slowly in our mind. In the US, sadly, we don't really think is in the game. And therefore, that's why we want to be underweight structurally.

underweight the US because it's just not in the position to be competitive on the high frontier future physical AI and things of that nature. And then finally, on EM, we also like Latin America and we have a position there in ILF, which is the Latin American ETF. So there we do just buy the region after I just said we don't do that. We do that in Latin America, but that's you know, mostly Brazil and Mexico. And last week, for all the talk about the Fed, you know, there was another central bank that met last week and cut rates. And that was the Brazilian central bank. Okay. And so Brazil, and this is Morgan Stanley's view, Morgan Stanley expects Brazil to cut rates by 200 basis points over the next year. And so Brazil does have a presidential election coming up next month. We don't think it's going to be all that meaningful.

It's a very tight race right now, but the incumbent is well-known. The market would love to see his competitor win. The Avenida Paulista, which is Brazil's Wall Street, definitely favors Bolsonaro. But either way, we don't think it's going to really shift the dynamic. The dynamic, in our view, is Brazil has tremendous amounts of commodities. Brazil has very clean

power. Brazil is likewise becoming a offshore production platform for China, both in the battery and in the EV space. And they have a rate cutting cycle that we think is going to continue. And as I said, 200 to 300 basis points of rate cuts in Brazil over the next year. And the surprise could be that the currency appreciates, not depreciates. So we like Brazil a lot. We like Mexico.

You know, there's a little Chile and Peru in there with the copper and the lithium, etc. But in essence, if you want a material exposure, ILF, 30% of ILF is materials and energy. There are very few ETFs that provide anywhere like that type of commodity exposure. And our view is very clear that the digital eats the physical. without the physical, without copper, without silicon, without silver, without lithium. There is no AI. There is no agenic economy. There is no physical AI without the physical commodities. And so we wanna have exposure to that. We do that through ILF as well as directly through the miners. And I wanted to ask in terms of energy markets, what we have seen over this year, thanks in large part to the US wall against Iran and Middle East is that energy prices have kind of ratcheted higher at various points. And so it looks like we're in sort of a new normal of higher oil prices, obviously downstream as well, product prices are higher, diesel and so on. How do you think about that in terms of its impact? Is that more of a sectoral story? It makes you skew more towards energy. Does it make you worried about the European story? Because Europe's probably the most sensitive to that in some ways. I mean, how do you think about how you adjust your portfolio?

given that this war lasted longer than we all thought. Yeah, you're absolutely right about Europe. And Europe's down, I think, like double the S&P over the last month or two, reflecting that kind of exposure on the energy side. Our view is that much as we expect a ceasefire in Russia, Ukraine, we expect one in the U.S.-Iran conflict, and Europe will be the big beneficiary. So we would be adding if we weren't already overweight Europe. into that weakness. And the other part that's been a little bit of a surprise to us and not in a good way, which is that the Iran conflict was a Super Bowl type ad for clean energy. And if you think about it, right? I mean, all of a sudden the idea of depending on shipping your energy from thousands of miles away through straits that can be blocked by somebody standing there with a drone

or two versus having your solar farm with a battery providing your power, secure power, cheap power, power you control is a game changer. And it is manifesting in rapid rates of adoption.

in particularly the emerging markets, which we think could provide a leapfrog potential over the next three to five years for a lot of EM countries to simply bypass the fossil fuel era and go right to the clean energy renewable era. The problem has been that the stocks have not reacted that way, right? So clean energy where we have exposure across the space has not really performed as well as we thought. Much as defense, right? You would have thought defense stocks would be the bomb, no pun intended. And yet, they've been lousy performers. Why hasn't clean and then defense performed as well? It's a fair question. I mean, I think defense is that the fear is that the big traditional defense companies can't really do much more than they're already doing. So there's no real upside there on the clean energy side. I think part of it is just that it's dominated by China. And the companies, you know, they have the very, very intense domestic competition, which is really not allowing companies to make a lot in the way of profitability. And so people have been kind of, uh, uh, gun shy about positioning in them, particularly in the solar space. So if you look again, there are multiple ETFs. You can buy tan for solar. You can buy ICLN for the blend. You can buy lit for lithium. You can buy bad for batteries, et cetera, et cetera. And it's been pretty tricky.

in that space. And again, because we have what we call our TPW 20 thematic model portfolio, which we also offer to clients, you know, we know the thematic space very, very well, we're exposed across many of those ETFs. And it's been a struggle the last couple of months. And so how we've played it is we've consolidated some of that clean energy, those clean energy positions into a ICLN in effect and lit in that we want to have more battery exposure basically because the battery exposure as batteries much like solar have become cheaper and cheaper the ability to put a solar farm in place with battery that allows you to you know have power for longer. It reduces the intermittency issue. That's really kind of the golden ticket for solar, and that's where we want to have exposure there. And then in the more traditional fossil fuels, we have exposure to basically XLE, which is the big oil companies in the US, and XES, which is the oil field services.

ETF, the idea being that these fields are gonna need to be fixed and improved and made to run at their highest level. There've been better plays, frankly. The refining sector was really the place to be. We thought that the conflict would be shorter in nature and so didn't get on the refiners and that's really been the big winner. One would say I guess in the energy space, but you win some, you lose some. And we have some political events coming up. Obviously, you mentioned the Brazilian election, which I think is fair what you say. Now, in the midterms, is that an event risk for you or not for equities? And if not, why not? Well, I think that it's not really that big of an issue. Again, I think people have accepted the idea that the Democrats will win the House. That seems pretty clear cut. It's been a surprise to us that the White House did not push Arter for a deal in Iran to forestall the impact on Refined products, you know gasoline and diesel because that's clearly a major negative for Republicans in the US They're very much. It's a war of choice and Republicans in the White House and control the House and the Senate So so that's been a surprise but the house going to the Democrats, I think is already in the price. The Senate flipping to Democrats, that's now, I think according to Pauli Market, 60% odds, so better than 50-50, which is relatively new. And I think the polling continues to break against the Republicans pretty much across the board. And the offset to that is the Republicans have much, much more money. And the number of billionaires lining up to support Republicans is also very long. And so they have a big money advantage. And you watch a football game, watch the fair bit of football this weekend, and I can assure you that the number of political ads are becoming very visible. So that may be a surprise if the Democrats take both the House and the Senate.

But I don't think it really changes the economic dynamic in a sense that there's not much the White House or this administration is doing on that front. And everything that it's done, not everything, but most things, many things have been difficult for the market, have not been pro-market. And so it's already kind of priced in, right? I use the term chaos agent. to describe the White House before. And I think that's fair. And I don't think that's going to change a whole lot. You have the Fed and the Treasury arguably operating at cross purposes, you know, kind of incoherent policymaking. You have the Fed chair saying he wants a clean read from the bond market. And then you have a Treasury secretary intervening directly inside a bond

market. And so, you know, It's kind of incoherent. Much as you would think that continuing to prosecute a war in Iran is at odds with the affordability issue in the US. And so I think that the political space in the US has been basically priced in. As I said, the big question is, are we, in my view, are we going to have one more rate hike? And that's probably it for the Fed.

The other side of that is that the market has priced in three rate hikes for the Fed. So, you know, already the market has already priced it in. So if anything, you know, the market's going to have to take out a rate hike or two. And therefore, you know, it's so funny, you know, the pendulum swing. We talked about it and I wrote about it in the musings on Friday that all of a sudden we went from, oh my God, bonds are horrible, bonds are horrible. The 10-year is going to hit 5%. It hits 5%. And the next headline in Bloomberg is, you know, JPMorgan asset management sees 5% as a great entry point. You know, today's Bloomberg story on the fixed income was short-term treasuries prove appealing.

So, you know, you flip the dynamic, all of a sudden they're attractive. Yeah. And, you know, just around of the market's discussion, you know, you talk about timing, you know, that we could see a big equity rally into your end. I mean, in terms of timing, is it partly, you know, what you mentioned earlier around we've had so much bad news thrown out the equity markets that, you know, the risk for turn now is it can only get better from here. Yeah, it's basically it that we've spent months discounting a lot of uncertainty. That's been discounted. We pay attention not to the news, but the reaction. The reaction has been steady as she goes because we have a record earnings boom. When earnings are growing, Q3 in the US is forecast to be 25% earnings growth. And once we get through the next couple of weeks, and that's what we're setting up for, we're coming out of the worst seasonality into the best October, November, the two best months in midterm years. We're coming right into it. We're coming into earnings season with earnings growth projected to be at 25% per year over year. And we're going to be talking about and we're already priced in a 5% 10 year 100 oil and a Fed rate hike and potential for, you know, the extinction of humanity. What else can there be? So with earnings, with stocks cheaper than they've been in years, with earnings better than they've been in years, and we're starting to move to 2027, right? Again, you and I know very well that after the next

two weeks, it's going to be all about 2027. And so we're already in 2027 effectively as a market thinker and participant. And 2027, again, looks pretty good.

The investment banks are coming out. Morgan Stanley just came out. 2.3% GDP growth for 2027 for the United States, Japan, Europe, all growing reasonably well. China growing reasonably well. People like to talk about China underperforming and not doing so well, but still growing at 4%, 4 to 5%, which is double everybody else. So it's not horrible. And earnings are robust and valuations are undemanding. People are certainly outside the US people are under invested and so you know that to us is all recipe for a continuation of a market that we think You know we're not really big on putting numbers to things like you know a lot of folks do and but you know we're certainly as I you know we could see you know stocks up 510 percent between now and you know the first half of next year I think pretty reasonably That's not hard to do when you're growing earnings at 20 to 25%. There's no, you know, we're not making a case for multiple expansion, right? We're making a case for earnings driven stock price appreciation. And that we feel very comfortable going back to our spending super cycle, our global growth long cycle, the existential nature of the need to spend on AI. And I think importantly, Just to finish on this point, I wanted to make sure I almost forgot it. But I think very importantly, Bilal, the question of return on investment in AI, which is what everybody's been really wondering about, like how are we going to make money on all this money we're spending? I think that's in process of being answered. And that is going to be very, very critical. Because if that is answered in the affirmative, then I think the rationale for not owning a lot of the tech space goes away. And I would just remind people that semiconductors, for example, are trading at less than 16 times forward earnings. Okay, so the S&P is about 18, semis are at 16.

And MAGs, the MAG7 are all of a sudden starting to perform again. So if semis are gonna do well, which we think they will, and the AI return on investment question is answered in the affirmative through Q3, Q4, and then I think people will position in front of that for 2027. And since tech is such a big part of the index, One of the things that make us think we could really have a face ripper type rally because people are not positioned in this

space by nature of the fact that the valuation is at 16 times at a discount to the S&P. And so we really think that that's another really important point, that the ROI question for AI is being answered in the affirmative. And so we have positioned our portfolio the GMA across the entire space. So we are in copper, we're in electrification, we're in semis, we're in cyber, we're in cloud and we're in memory. We wanna be across the entire space because that is where people have had real questions and as they are converted into believers that there is an ROI on this stuff, then that space is gonna do very, very well.

And so that to us is another reason for we think potentially much stronger market than people are ready for. That's a very compelling and clear argument. They made a very strong case for the bullish equity story. Now, I know you're really into college football. So I always like to get my update on college football. So you're an alum from Duke University. So how's all going? How's the season so far? Yeah, well, we're just had our third game and we beat that other intellectual school that plays football, Stanford last weekend, 35 to seven. So that's a very clear and convincing win for Duke. And the thing that's impressive about the Duke football program right now is that it is doing well with one of the lowest budgets of any school in the what's called the power for conferences. So the bigger football playing conferences there's you and I discussed I think the last time I was on with you the whole NIL space name image and likeness which allows for college athletes you know men and women all sports to be paid for their participation in their name image and likeness and so just uh there's been a recent expose by the Times New York Times showing that currently the top schools in the country who play football, think Ohio State, think Alabama, think Oregon, schools like that are spending roughly 40 to 50 million dollars paying their players, their roster, okay? 40 to 50 million US dollars for the college football roster at Ohio State, at Texas, et cetera. Duke is estimated to spend eight to 12 million.

It's the second lowest of any of these powerful schools. And so to me, the point I've been trying to make over the last week or so is I don't think there's a better branding opportunity for a Duke alum. If there are any big Duke alums listening to this podcast, you have a tremendous opportunity. to invest, let's say, 50 million on a 10-year basis into Duke football, stipulate

that Duke must invest the same alongside you. So all of a sudden, Duke's NIL budget goes from, let's call it, 10, 8 to 12, 10 middle. Add another 10, you double it, and you let your current coach and staff who won the ACC last year, with this low budget, really go out and develop and compete. I think it's an extremely compelling opportunity, and I really hope that Duke is actively searching for those people. They exist. Duke has plenty of very wealthy alums, but it's really, you know, it's a fascinating time because players are getting paid. You can build a team, right, through the transfer portal. That's the other big difference. Kids can play like a Duke one year. And then Stanford says, hey, you really dominated us last year. Come play for us. We'll give you twice as much money. Stanford's NIL budget is 20 to 25 million. So double Dukes. So kids can go and move. And so you can move your players around and develop teams. And then it's a question of coherence, right? It's like a portfolio. All of a sudden, if you're changing your portfolio around, You want to make sure that it's coherent. Same with building a football team, college or pro. You've got lots of pieces and you need to make sure that they gel and they're on the same page and they work the same system. And then off you go and hopefully you have success. And so I'm excited for what's happening at Duke and Duke football. I think there's a huge opportunity to invest in it more fully. That is, Duke should not be the second lowest.

spending school in the power four, but at three and oh, excited. And I will say one other thing, I've had interns. My most recent intern at DPW advisory was a Duke football player and just great kids, right? I mean, disciplined on time, get things done, able to carry the school load at a place like Duke to play football and to have time to work. as an intern at TPW advisory. A lot of special student athletes, not just in football, but elsewhere. My new intern is the goalie for the Duke women's soccer team. So we're not only football fans, we're women's soccer fans. And Duke women's soccer, by the way, ranked second in the country. You're just walking at advertisement and Mark's at the Duke in an all-dimension, so they should be proud. I asked for it, I guess. You're great. They should really be happy that they have you on board. Now, finally, for people to follow your work, your research, what's the best way for them to access your work? Great. Thanks for that opportunity, Bob. We have our substack, which is the tripolar world.

Love to have paid subscribers there. We write once a week. We're big believers that in global macro, you need three things. You need a framework. And our framework is the TPW tripolar world. You need a process. And our process is to write every week. So that's in the substack. And then you need a structure. And our structure is our model portfolio delivery service. We offer two models, our global multi-asset, which we talked about a fair bit today. And then our TPW20 thematic model, 20 ETFs focused on future innovation and alternative energies. And so that service is also available. You can reach out to me directly at jpaloskiatpaloski.com. Balao can maybe put that in the podcast. But to learn more about the model delivery portfolio service, And we welcome inquiries. It would be great to have, we're happy with our clients now, but we could always have more clients and appreciate the opportunity to mention our services. So thank you. That's fantastic. I do urge everyone to sign up and for the paid subscription, it's a fantastic newsletter. And it really kind of helps you avoid getting bogged down in the noise of market stay today. So with that, thanks a lot, Jay. It's fantastic to have you on the call once again and go Duke as well.

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